

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 987

Introduced by Lonowski, 33.

Read first time January 12, 2026

Committee:

- 1 A BILL FOR AN ACT relating to insurance; to adopt the Vision Benefit Plan
- 2 Act; to provide an operative date; to provide severability; and to
- 3 declare an emergency.
- 4 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Sections 1 to 14 of this act shall be known and may be
2 cited as the Vision Benefit Plan Act.

3 **Sec. 2.** For purposes of the Vision Benefit Plan Act:

4 (1) Chargeback means a dollar amount, fee, surcharge, rebate, or
5 item of value that reduces, modifies, or offsets all or part of the
6 enrollee's responsibility, provider reimbursement, allowed amount, or fee
7 schedule for a covered service or covered material;

8 (2) Covered materials means materials for which reimbursement from
9 an insurer, vision benefit manager, or subcontractor is provided to an
10 eye care provider by an enrollee's plan contract, or for which a
11 reimbursement would be available but for the application of the
12 enrollee's contractual limitations of deductibles, copayments, or
13 coinsurance, regardless of how the materials are listed or described in
14 an enrollee's benefit plan's definition of benefits;

15 (3) Covered services means the professional work performed by an eye
16 care provider for which reimbursements for an insurer, vision benefit
17 manager, or subcontractor are provided to an eye care provider by an
18 enrollee's plan contract, or for which a reimbursement would be available
19 but for the application of the enrollee's contractual plan limitations of
20 deductibles, copayments, or coinsurance, regardless of how the services
21 are listed or described in an enrollee's benefit plan's definition of
22 benefits;

23 (4) Director means the Director of Insurance;

24 (5) Enrollee means any individual participating in a health benefit
25 plan, vision benefit plan, or vision benefit discount plan that is
26 purchased by an individual or provided to an individual by an entity that
27 purchases or supplies coverage for a health benefit plan, vision benefit
28 plan, or vision benefit discount plan;

29 (6) Extrapolation means a mathematical formula, process, or
30 technique used by a vision benefit manager, or the vision benefit
31 manager's agent, in the audit of an optometrist to estimate audit results

1 or findings for a larger batch of claims not reviewed by the vision
2 benefit manager;

3 (7) Eye care provider means a licensed doctor of optometry
4 practicing under the authority of the Optometry Practice Act or a
5 licensed medical or osteopathic doctor practicing under the authority of
6 the Medicine and Surgery Practice Act;

7 (8) Fee schedule means the document or system that lists the
8 predetermined payment rates or allowed amounts for covered services or
9 covered materials and determines how much eye care providers are
10 reimbursed by the insurer or vision benefit manager and how much patients
11 are charged by the insurer, vision benefit manager, or eye care provider;

12 (9) Insurer means an individual, corporation, partnership, company,
13 organization, group, health maintenance organization, captive risk-
14 retention group, self-insurance group, optometric service and indemnity
15 corporation, or other entity, whether organized for profit or not for
16 profit, whether foreign or domestic, that conducts business in this state
17 and that offers a vision benefit plan or provides coverage for vision-
18 related services or vision-related materials to enrollees. For avoidance
19 of doubt, an entity is considered an insurer for purposes of the Vision
20 Benefit Plan Act irrespective of (a) its corporate form or category of
21 licensure, if applicable, including whether it is otherwise subject to
22 insurance regulations or any other regulations, (b) whether it, either
23 directly or indirectly, reimburses, indemnifies, pays, or discounts the
24 costs of vision services or vision materials, or (c) whether it
25 delegates, assigns, or contracts performance of any function regulated by
26 the act to an affiliate, subsidiary, contractor, intermediary, or network
27 leasing entity;

28 (10) Materials means ophthalmic devices, including, but not limited
29 to, lenses, devices containing lenses, artificial intraocular lenses,
30 ophthalmic frames and other lens mounting apparatus, prisms, lens
31 treatments and coatings, contact lenses, low vision devices, vision

1 therapy devices, and prosthetic devices to correct, relieve, or treat
2 defects or abnormal conditions of the human eye or its adnexa, or any
3 material allowed to be utilized by the Board of Optometry and the
4 Optometry Practice Act;

5 (11) Nominal means, when there is no corresponding reimbursement in
6 the current year's published Physician Fee Schedule released annually by
7 the federal Centers for Medicare and Medicaid Services or in the current
8 year's published state medicaid fee schedule, an amount less than the
9 reasonable compensation to the eye care provider rendering the covered
10 service or covered materials, taking into account the provider's direct
11 and indirect costs, including the actual acquisition costs and actual pro
12 rata overhead costs and reasonable profit;

13 (12) Participating eye care provider means an eye care provider that
14 has entered into a contractual agreement or other business relationship
15 with an insurer, vision benefit manager, third-party administrator, or
16 subcontractor to provide covered services or covered materials;

17 (13) Subcontractor means an individual, company, organization,
18 group, or other entity, including, but not limited to, agents, servants,
19 brokers, wholesalers, distributors, partially owned or wholly owned
20 subsidiaries, and controlled organizations, that is contracted by the
21 vision benefit manager to supply services or materials to another vision
22 benefit manager, eye care provider, or enrollee to execute or fulfill the
23 health benefit plan, vision benefit plan, or vision benefit discount plan
24 of a vision benefit manager;

25 (14) Vision benefit discount plan means a policy, contract, or
26 agreement offered by an insurer or vision benefit manager to an enrollee
27 that solely provides for a discount for vision care services or
28 materials;

29 (15) Vision benefit manager means an individual, company,
30 organization, group, or other entity, including, but not limited to, an
31 insurer, a third-party administrator, and a subcontractor, that creates,

1 promotes, sells, provides, advertises, or administers an integrated or
2 stand-alone vision benefit plan, vision benefit discount plan, or other
3 insurance policy or contract which provides vision benefits or discounts
4 to an enrollee pertaining to the provision of covered services or covered
5 materials; and

6 (16) Vision benefit plan means a policy, contract, agreement, or any
7 prepaid vision plan offered by an insurer or vision benefit manager to an
8 enrollee to pay for, reimburse, discount, or offset healthcare costs.

9 **Sec. 3.** (1) An insurer or vision benefit manager shall disclose the
10 following information publicly on its website and with all documents and
11 document packages, including, but not limited to, proposals, responses to
12 requests for proposals, sales documents, enrollment documents, benefit
13 plan documents, purchaser contracts, enrollee contracts, and provider
14 agreements that are presented to purchasers, potential purchasers,
15 enrollees, potential enrollees, participating eye care providers,
16 potential participating providers, and state agencies with
17 jurisdictional, regulatory, or enforcement authority over its business:

18 (a) Its legal name and entity type;

19 (b) Its legal address and the state in which the legal entity is
20 formed or organized;

21 (c) The physical address, mailing address, electronic mail address,
22 and phone number of its operational headquarters;

23 (d) The agencies, departments, committees, commissions, and other
24 bodies that have jurisdictional, regulatory, or enforcement authority
25 over its business;

26 (e) A statement that no jurisdictional, regulatory, or enforcement
27 authority exists over its business, if none exists;

28 (f) The names, physical addresses, mailing addresses, electronic
29 mail addresses, and phone numbers of all parent companies, related
30 holding companies, wholly owned subsidiary companies, and partially owned
31 subsidiary companies;

1 (g) All federal and state litigation in which the insurer or vision
2 benefit manager is, or has been, a party in the current year and during
3 the preceding five years; and

4 (h) All formal complaints to the Department of Insurance against the
5 insurer or vision benefit manager in the current year and during the
6 preceding five years by purchasers, enrollees, or eye care providers.

7 (2) All information required to be disclosed by an insurer or vision
8 benefit manager in subsection (1) of this section shall be conveyed in
9 plain language, shall be typed with a minimum of ten-point font size, and
10 shall be prominently displayed:

11 (a) On the insurer's or vision benefit manager's website in a
12 publicly accessible section titled "Required Transparency Information for
13 Patients, Doctors, and Purchasers"; and

14 (b) In a separately created document titled "Required Transparency
15 Information for Patients, Doctors, and Purchasers" that shall be included
16 with all documents and document packages, including, but not limited to,
17 proposals, responses to requests for proposals, benefit plan documents,
18 sales documents, enrollment documents, purchaser contracts, enrollee
19 contracts, and provider agreements.

20 (3) An insurer or vision benefit manager shall provide notice to
21 each participating eye care provider of any proposed amendments to
22 existing provider agreements, fee schedules, provider handbooks, provider
23 manuals, or related policy documents via electronic mail.

24 (4) A participating eye care provider shall be provided with a
25 minimum of ninety calendar days from the time of distribution to review
26 changes and respond, if necessary, to any proposed amendments from an
27 insurer or vision benefit manager to existing provider agreements, fee
28 schedules, provider handbooks, provider manuals, or related policy
29 documents. Any such proposed amendments proffered by the insurer or
30 vision benefit manager in violation of this subsection shall be void and
31 unenforceable as a matter of law.

1 (5) Any proposed amendments to existing provider agreements, fee
2 schedules, provider handbooks, provider manuals, or related policy
3 documents by an insurer or vision benefit manager delivered to a
4 participating eye care provider shall be:

5 (a) Enumerated in a cover letter;

6 (b) Marked with highlights or in tracked changes within the
7 applicable agreements or documents to clearly display all changes over
8 the previous version; and

9 (c) Structured to include implications of agreeance or non-agreeance
10 by the participating eye care provider.

11 (6) An insurer or vision benefit manager shall maintain:

12 (a) A phone number to company representatives to receive questions
13 and communications from participating eye care providers at all times
14 during standard business hours;

15 (b) The ability for an eye care provider to leave voice messages at
16 all times; and

17 (c) The ability for an eye care provider to have a live phone
18 discussion with a company representative within twenty-four hours of an
19 initial phone call or a voice message left with the insurer or vision
20 benefit manager.

21 (7) An insurer or vision benefit manager shall maintain a physical
22 mailing address and an electronic mail address to company representatives
23 to receive questions, disputes, and communications from participating eye
24 care providers about all matters, at all times, including, but not
25 limited to, proposed amendments to existing provider agreements, fee
26 schedules, provider handbooks, provider manuals, and related policy
27 documents, and shall publish instructions for mail submission and
28 electronic mail submission of questions, disputes, and communications in
29 a place visible to participating eye care providers, including on its
30 website and in any provider agreements, provider handbooks, provider
31 manuals, or related policy documents.

1 (8) An insurer or vision benefit manager shall acknowledge receipt
2 of an electronic mail message within one hour by use of a return
3 electronic mail message with a communication tracking number and shall
4 respond to the substantive questions or communications of the electronic
5 mail message within seventy-two hours in writing by use of a return
6 electronic mail message.

7 (9) An insurer or vision benefit manager shall, at all times, make
8 available to the eye care provider the most up-to-date provider
9 agreements, fee schedules, provider handbooks, provider manuals, and
10 related policy documents via website access.

11 (10) Insurers or vision benefit managers shall not engage in
12 marketing or advertising activities that are misleading or deceptive to
13 the public. Such acts are considered deceptive trade practices and
14 subject to penalty under the Uniform Deceptive Trade Practices Act.

15 (11) Upon request by a state agency with jurisdictional, regulatory,
16 or enforcement authority over its business, an insurer or vision benefit
17 manager shall submit all information related to a health benefit plan,
18 vision benefit plan, or vision benefit discount plan, including, but not
19 limited to, proposals, responses to requests for proposals, benefit plan
20 documents, sales documents, enrollment documents, purchaser contracts,
21 enrollee contracts, provider agreements, and marketing and advertising
22 activities, for review.

23 **Sec. 4.** (1) No agreement or contract between an insurer or vision
24 benefit manager and an eye care provider may seek to or require that an
25 eye care provider provide services or materials at a fee limited or set
26 by the insurer or vision benefit manager unless the services or materials
27 are defined and reimbursed as covered services or covered materials under
28 the agreement or contract.

29 (2) An insurer or vision benefit manager shall only use standardized
30 codes, names, descriptions, and definitions published in the Healthcare
31 Common Procedure Coding System, including Current Procedural Terminology

codes published by the American Medical Association and Level II codes published by the federal Centers for Medicare and Medicaid Services, to identify and describe covered services and covered materials of the vision benefit plan to purchasers, enrollees, and eye care providers of the vision benefit plan.

(3) An insurer or vision benefit manager shall adhere to the standardized codes, names, descriptions, and definitions published in the Healthcare Common Procedure Coding System, including all Current Procedural Terminology codes published by the American Medical Association and all Level II codes published by the federal Centers for Medicare and Medicaid Services, to create and offer a fee schedule for covered services and covered materials in an agreement between the insurer or vision benefit manager and an eye care provider.

(4) An insurer or vision benefit manager shall not attempt to alter the meaning of any of the standardized codes, names, descriptions, or definitions published in the Healthcare Common Procedure Coding System, including all Current Procedural Terminology codes published by the American Medical Association and all Level II codes published by the federal Centers for Medicare and Medicaid Services. Any such contractual language, policies, or procedures set by the insurer or vision benefit manager in violation of this subsection shall be void and unenforceable as a matter of law.

(5) All fee schedules in an agreement between an insurer or vision benefit manager and an eye care provider and all reimbursements paid by an insurer or vision benefit manager to an eye care provider for all covered services and covered materials shall not be nominal or de minimis. There shall be no limitation on the ability of an individual eye care provider or a group of eye care providers who practice under a single employer identification number or tax identification number to engage in direct negotiations with the insurer or vision benefit manager regarding reimbursement fee schedules and ultimately agreeing to a

1 different fee schedule than the fee schedule provided by the insurer or
2 vision benefit manager to other participating providers or groups.

3 (6) All fee schedule allowed amounts and all reimbursements paid by
4 an insurer or vision benefit manager for each covered service and covered
5 material shall be clearly and individually listed on a fee schedule made
6 available to the eye care provider:

7 (a) At the time an agreement is offered to the eye care provider by
8 an insurer or vision benefit manager;

9 (b) Within fifteen business days from the date an application is
10 made to become a participating eye care provider with the insurer or
11 vision benefit manager by the eye care provider; and

12 (c) At all times via electronic means to the participating eye care
13 provider.

14 (7) A contract between an insurer or vision benefit manager and an
15 eye care provider shall include a fee schedule that includes and
16 individually identifies each covered service and covered material and its
17 corresponding allowed amount, reimbursement amount paid to the eye care
18 provider, and any form of a cost-sharing amount paid by the enrollee to
19 the eye care provider.

20 (8) Insurers or vision benefit managers shall not advertise, claim,
21 or represent to purchasers or enrollees that services and materials
22 provided by a participating eye care provider are covered, included, or
23 covered with an additional deductible, copay, or coinsurance if the
24 insurer or vision benefit manager does not remit an actual payment to the
25 participating eye care provider as full or partial reimbursement for the
26 service or material.

27 (9) A service or material provided by a participating eye care
28 provider cannot be designated as a covered service or covered material by
29 the insurer or vision benefit manager in the design of a health benefit
30 plan, vision benefit plan, or vision benefit discount plan if the
31 reimbursement amount to the participating eye care provider is only

1 comprised of an enrollee's payment to the participating eye care
2 provider.

3 (10) Insurers or vision benefit managers shall not condition
4 application to or network participation in a health benefit plan, vision
5 benefit plan, or vision benefit discount plan by an eye care provider
6 based on the eye care provider's usual and customary pricing or discounts
7 on usual and customary pricing for services or materials that are not
8 covered services or not covered materials. Any such contractual language,
9 policies, or procedures set by the insurer or vision benefit manager in
10 violation of this subsection shall be void and unenforceable as a matter
11 of law.

12 (11) Insurers or vision benefit managers shall not make conditional
13 a fee schedule proposed or made to an eye care provider of a health
14 benefit plan, vision benefit plan, or vision benefit discount plan for
15 covered services or covered materials based on the eye care provider's
16 usual and customary pricing or discounts on usual and customary pricing
17 for services or materials that are not covered services or not covered
18 materials. Any such contractual language, policies, or procedures set by
19 the insurer or vision benefit manager in violation of this subsection
20 shall be void and unenforceable as a matter of law.

21 (12) A contract between an insurer or vision benefit manager and an
22 eye care provider shall not contain a provision, fee schedule, or
23 reimbursement amount in which the eye care provider, with consideration
24 of any applicable deductibles, copays, coinsurances, discounts, rebates,
25 or chargebacks, provides covered services or covered materials to an
26 enrollee at a financial loss. Any such contractual language, policies, or
27 procedures set by the insurer or vision benefit manager in violation of
28 this subsection shall be void and unenforceable as a matter of law.

29 (13) The period of time prescribed by a contract between any insurer
30 or vision benefit manager and an eye care provider for the insurer or
31 vision benefit manager to recover any reimbursement amount from an eye

1 care provider shall be the same period of time allowed or required for
2 any insurer or vision benefit manager to remit the applicable
3 reimbursement following an eye care provider's submission of a clean
4 claim for services rendered or materials furnished. This subsection shall
5 not limit the ability of an insurer or vision benefit manager to conduct
6 an audit of claims, in accordance with the insurer's or vision benefit
7 manager's written policies and applicable law, in the event that the
8 insurer or vision benefit manager has a reasonable belief that the eye
9 care provider has engaged in fraud, waste, or abuse.

10 (14) Insurers or vision benefit managers shall not falsely represent
11 the number of participating providers in a region or the benefits that
12 comprise a health benefit plan, vision benefit plan, or vision benefit
13 discount plan to clients, groups, employers, purchasers, companies,
14 enrollees, or prospective enrollees. Such acts are considered deceptive
15 trade practices and subject to penalty under the Uniform Deceptive Trade
16 Practices Act.

17 (15) An insurer or vision benefit manager shall not promote or use
18 in any marketing or advertising for a health benefit plan, vision benefit
19 plan, or vision benefit discount plan that a covered service or covered
20 material is free, no charge, complimentary, or any materially similar
21 language to induce a client, group, employer, purchaser, company,
22 enrollee, or prospective enrollee to purchase services, materials,
23 supplies, or plans from the insurer, vision benefit manager, or an
24 affiliate of the insurer or vision benefit manager.

25 (16) Insurers or vision benefit managers shall not offer enrollees
26 of a health benefit plan, vision benefit plan, or vision benefit discount
27 plan varying deductibles, copays, coinsurances, coverage amounts,
28 rebates, gift cards, or other monetary or nonmonetary incentives to
29 obtain covered services, covered materials, noncovered services, or
30 noncovered materials:

31 (a) At any particular participating eye care provider;

1 (b) At a retail establishment owned by, partially owned by,
2 contracted with, or otherwise affiliated with the insurer or vision
3 benefit manager; or

4 (c) At any Internet or virtual provider or retailer owned by,
5 partially owned by, contracted with, or otherwise affiliated with the
6 insurer or vision benefit manager.

7 (17) Insurers or vision benefit managers shall remit to the
8 participating eye care provider the contracted reimbursement amount from
9 the fee schedule for a covered service or covered material provided to an
10 enrollee if the enrollee is verified to be eligible by the participating
11 eye care provider through customary verification methods of the insurer
12 or vision benefit manager to receive the covered service or covered
13 material on the date of service.

14 (18) Insurers or vision benefit managers shall not retroactively
15 reverse a reimbursement or withhold a future reimbursement to a
16 participating eye care provider who relied in good faith on an
17 individual's presented coverage credentials and the customary
18 verification methods of the insurer or vision benefit manager if the
19 vision benefit manager later determines that the enrollee was ineligible
20 to receive covered services or covered materials on the date of service.

21 (19) Insurers or vision benefit managers shall not require a
22 participating eye care provider, purchaser, or enrollee of a health
23 benefit plan, vision benefit plan, or vision benefit discount plan to
24 obtain prior authorization, preauthorization, precertification, or any
25 similar mechanism that restricts the enrollee from receiving a covered
26 service or covered material recommended by the eye care provider and
27 requested by the enrollee.

28 (20) Participating eye care providers are allowed, but not required,
29 to offer an enrollee the opportunity to pay the participating eye care
30 provider directly for covered services and covered materials if such
31 direct payment would be less costly to the enrollee than the total out-

1 of-pocket cost required under the terms of a health benefit plan or
2 vision benefit plan. A provider may not be subject to an audit, removed
3 from participation in the network, or otherwise penalized or
4 discriminated against in any manner for offering an enrollee the
5 opportunity to pay the participating provider directly under the
6 conditions described in this subsection.

7 (21)(a) Insurers or vision benefit managers shall not, in the course
8 of adjudicating a claim for reimbursement by a participating eye care
9 provider for a covered service or covered material, alter, delete,
10 substitute, or otherwise change any code or modifier submitted by the eye
11 care provider, including by downcoding, bundling, or reassigning to a
12 different code, if such change would reduce payment or otherwise
13 adversely affect the provider or enrollee.

14 (b) For purposes of this subsection:

15 (i) Bundling means to combine, substitute, or treat two or more
16 distinct services, supplies, or materials reported on the same claim or
17 date of service as included within a single code, package, or global
18 service, and denying, reducing, or disallowing separate reimbursement for
19 one or more of these codes; and

20 (ii) Downcoding means to alter, delete, substitute, or assign a code
21 that results in a lower level of service, a lower-valued code, or a
22 reduced reimbursement amount relative to the code submitted by the eye
23 care provider.

24 (22) All provisions of this section shall apply to all affiliates,
25 parent companies, third-party administrators, and subcontractors that are
26 used by an insurer or vision benefit manager to supply covered services
27 or covered materials to an eye care provider or enrollee, and such
28 affiliates, parent companies, third-party administrators, and
29 subcontractors shall be subject to all applicable penalties as provided
30 in this section.

31 (23) An insurer or vision benefit manager shall not require or

1 request an eye care provider to opt in or opt out of the provisions set
2 forth in the Vision Benefit Plan Act.

3 **Sec. 5.** (1) No agreement between an insurer or vision benefit
4 manager and an eye care provider shall require that an eye care provider
5 must participate with, be credentialed by, or enter into an agreement
6 with any specific vision benefit plan or vision benefit discount plan as
7 a condition for participation in the health benefit plan provider network
8 of the insurer or vision benefit manager to provide covered services or
9 covered materials to the enrollees of the health benefit plan.

10 (2) No agreement between an insurer or vision benefit manager and an
11 eye care provider shall require that an eye care provider must
12 participate with, be credentialed by, or enter into an agreement with any
13 specific health benefit plan as a condition for participation in the
14 vision benefit plan or vision benefit discount plan provider network of
15 the insurer or vision benefit manager to provide covered services or
16 covered materials to the enrollees of the vision benefit plan or vision
17 benefit discount plan.

18 (3) Any insurer or vision benefit manager issuing or renewing a
19 health benefit plan, vision benefit plan, or vision benefit discount plan
20 which provides benefits for covered services or covered materials
21 rendered by a physician or osteopath duly licensed under the Medicine and
22 Surgery Practice Act that are within the scope of practice of an
23 optometrist duly licensed under the Optometry Practice Act shall provide
24 the same reimbursement for covered services or covered materials to
25 optometrists as allowed for those covered services or covered materials
26 rendered by physicians or osteopaths.

27 (4) An insurer or vision benefit manager shall apply the same terms
28 and conditions of participation for all eye care providers, irrespective
29 of their educational credentials, subject to the permitted scope of
30 practice for the provider under applicable state law.

31 (5) An insurer or vision benefit manager shall not require an eye

1 care provider to possess, offer, procure, or sell materials or covered
2 materials in the provider's office as a condition of participation in the
3 provider network of the health benefit plan, vision benefit plan, or
4 vision benefit discount plan. Any such contractual language, policies, or
5 procedures set by the insurer or vision benefit manager in violation of
6 this subsection shall be void and unenforceable as a matter of law.

7 (6) If an eye care provider enters into any subcontract agreement
8 with another provider to provide his or her licensed health care services
9 to an enrollee or a covered dependent of an enrollee of a health benefit
10 plan, vision benefit plan, or vision benefit discount plan where the
11 subcontracted provider will seek reimbursement from the plan or enrollee
12 for the subcontracted services, the subcontract agreement must meet all
13 requirements of the Vision Benefit Plan Act.

14 (7) The provisions of this section shall apply to any agreements an
15 insurer or vision benefit manager enters into with another entity to
16 provide an enrollee with covered services or covered materials.

17 **Sec. 6.** (1) It is prohibited for an insurer or vision benefit
18 manager that offers multiple health benefit plans, vision benefit plans,
19 or vision benefit discount plans to require an eye care provider, as a
20 condition of participation in the network for a health benefit plan,
21 vision benefit plan, or vision benefit discount plan, to participate in
22 the network of any of the insurer's or vision benefit manager's other
23 health benefit plans, vision benefit plans, or vision benefit discount
24 plans. A contract provision violating this subsection is void as a matter
25 of law.

26 (2) It is prohibited for an insurer or vision benefit manager that
27 offers multiple health benefit plans, vision benefit plans, or vision
28 benefit discount plans to withhold participation in the network of one or
29 more of the insurer's or vision benefit manager's other health benefit
30 plans, vision benefit plans, or vision benefit discount plans if the eye
31 care provider, having completed the credentialing requirements of the

1 insurer or vision benefit manager for participation, is already
2 participating in the network of one or more of the insurer's or vision
3 benefit manager's health benefit plans, vision benefit plans, or vision
4 benefit discount plans and seeks to participate in the network of the
5 insurer's or vision benefit manager's other health benefit plans, vision
6 benefit plans, or vision benefit discount plans.

7 (3) Subsections (1) and (2) of this section apply to all plan types
8 that a health benefit plan, vision benefit plan, or vision benefit
9 discount plan sells, administers, or offers, including, but not limited
10 to, individually purchased plans, employer-sponsored plans, and
11 government-sponsored plans.

12 **Sec. 7.** (1) An insurer or vision benefit manager shall include on
13 its website:

14 (a) A method for an eye care provider to submit an application for
15 inclusion and credentialing as a participating provider in the health
16 benefit plan, vision benefit plan, or vision benefit discount plan; and

17 (b) A description of the credentialing requirements, which must be
18 reasonable, related to the delivery of covered eye care services, and
19 applied in an objective, uniform, and nondiscriminatory manner.

20 (2) An insurer's or vision benefit manager's application for
21 inclusion and credentialing as a participating eye care provider in the
22 health benefit plan, vision benefit plan, or vision benefit discount plan
23 must impose the same application and credentialing requirements on each
24 eye care provider.

25 (3) No later than the tenth business day after the date the insurer
26 or vision benefit manager receives an application from an eye care
27 provider for inclusion and credentialing as a participating provider in
28 the health benefit plan, vision benefit plan, or vision benefit discount
29 plan, the insurer or vision benefit manager shall make available
30 electronically to the eye care provider a proposed participating provider
31 agreement, including applicable fee schedules, provider handbooks, and

1 provider manuals.

2 (4) No later than the thirtieth business day after the date the
3 insurer or vision benefit manager receives an application from an eye
4 care provider for inclusion and credentialing as a participating provider
5 in the health benefit plan, vision benefit plan, or vision benefit
6 discount plan, the insurer or vision benefit manager shall complete the
7 credentialing determination of the eye care provider, approve or
8 disapprove the application of the eye care provider, and deliver
9 electronically a proposed participating provider agreement described in
10 subsection (3) of this section for acceptance and signature of the
11 approved eye care provider.

12 (5) If the application for inclusion and credentialing as a
13 participating provider is denied by the insurer or vision benefit
14 manager, the insurer or vision benefit manager shall deliver to the
15 applicant eye care provider a detailed explanation for the denial both
16 electronically and in writing via certified mail.

17 (6) If the application for inclusion and credentialing as a
18 participating provider is denied by the insurer or vision benefit
19 manager, the eye care provider must be allowed a reasonable period of
20 time in which to appeal the decision to the insurer or vision benefit
21 manager and provide in the appeal evidence that supports the
22 reconsideration of the denied application. The insurer or vision benefit
23 manager shall consider, and render a decision on, the eye care provider's
24 appeal submission within thirty days of the date of receipt of the
25 submission by the insurer or vision benefit manager.

26 (7) If the appeal of the application denial for inclusion and
27 credentialing as a participating provider is denied by the insurer or
28 vision benefit manager, the insurer or vision benefit manager shall
29 deliver to the applicant eye care provider a detailed explanation for the
30 denial of the appeal both electronically and in writing via certified
31 mail.

1 (8) An insurer or vision benefit manager, concurrent with the
2 electronic delivery of the proposed participating provider agreement to
3 the approved eye care provider pursuant to subsection (4) of this
4 section, must provide the name, email address, and phone number of a
5 representative of the insurer or vision benefit manager to allow the
6 approved eye care provider the opportunity to:

7 (a) Contact the representative before signing the agreement;

8 (b) Discuss the proposed agreement with the representative before
9 signing the agreement; and

10 (c) Electronically send the representative modifications to the
11 proposed agreement before signing the agreement.

12 (9) In the event that the approved eye care provider sends the
13 representative of the insurer or vision benefit manager modifications to
14 the proposed participating provider agreement pursuant to subdivision (8)
15 (c) of this section, the insurer or vision benefit manager must respond
16 to the submission of the approved eye care provider within five business
17 days. Each subsequent response made by the insurer, vision benefit
18 manager, or approved eye care provider to the other party must be
19 responded to within five business days by the receiving party.

20 (10) Once the insurer or vision benefit manager has approved and
21 delivered electronically a proposed participating provider agreement
22 pursuant to subsection (4) of this section, the approved eye care
23 provider has a total allotted timeframe of ninety business days to reach
24 agreement with the insurer or vision benefit manager and sign a
25 participating provider agreement. If the parties fail to reach agreement
26 and no participating provider agreement is signed by the approved eye
27 care provider within the allotted timeframe, the insurer or vision
28 benefit manager may retract the participating provider agreement.

29 (11) No later than the twentieth business day after the date the
30 approved eye care provider signs a participating provider agreement, the
31 insurer or vision benefit manager shall include the credentialed and

1 approved eye care provider as a participating provider in the health
2 benefit plan, vision benefit plan, or vision benefit discount plan and
3 list the eye care provider in all of the plan's directories that are
4 available to enrollees and the public.

5 (12) The earliest that an eye care provider may submit another
6 application to an insurer or vision benefit manager after a previous
7 approval and subsequent unsuccessful attempt to negotiate a mutually
8 acceptable participating provider agreement is one hundred eighty
9 calendar days from the date of submission of the previous application.

10 (13) The earliest that an eye care provider may submit another
11 application to an insurer or vision benefit manager after a previous
12 disapproval of an application is one hundred eighty calendar days from
13 the date of submission of the previous application.

14 (14) An insurer or vision benefit manager shall allow an eye care
15 provider to become a participating provider in the network of a health
16 benefit plan, vision benefit plan, or vision benefit discount plan if the
17 eye care provider (a) meets the credentialing requirements of the insurer
18 or vision benefit manager and (b) agrees in writing to the applicable
19 provider agreement.

20 (15) An insurer or vision benefit manager shall not exclude an eye
21 care provider from applying to, or becoming a participating provider in,
22 the network of a health benefit plan, vision benefit plan, or vision
23 benefit discount plan because of:

24 (a) The aggregate number of eye care providers in a state, county,
25 city, zip code, or other geographically defined service area;

26 (b) The time, distance, or appointment availability for an enrollee
27 to access a participating eye care provider; or

28 (c) The provider's professional designation, independent practice
29 affiliation, or participation status in other health benefit plans,
30 vision benefit plans, or vision benefit discount plans.

31 **Sec. 8.** (1) An insurer or vision benefit manager shall not change

1 or alter a provider agreement, including terms, reimbursements, fee
2 schedules, policies, procedures, or provider manuals incorporated by
3 reference into the provider agreement, entered into with a participating
4 eye care provider unless the insurer or vision benefit manager performs
5 the following steps at least ninety days before the date the proposed
6 change would take effect:

7 (a) A certified letter, or an electronic communication requiring an
8 electronic signature proving receipt, clearly detailing the proposed
9 changes must be sent to the eye care provider;

10 (b) A face-to-face or virtual meeting must be held to discuss
11 proposed changes if requested by the eye care provider;

12 (c) The eye care provider must either agree to or protest in writing
13 the proposed changes. If the changes are not agreed to by the eye care
14 provider, then the current agreement shall continue and the insurer or
15 vision benefit manager shall not remove the eye care provider from
16 participation with a health benefit plan, vision benefit plan, or vision
17 benefit discount plan for not accepting the proposed changes; and

18 (d) Any proposed amendment to an existing provider agreement must be
19 presented to the participating eye care provider in a manner conducive to
20 the eye care provider's review. The proposed changes shall be (i)
21 enumerated in a cover letter and (ii) clearly marked in tracked changes
22 within the body of the applicable agreement.

23 (2) Termination of any provider agreement shall be permissible only
24 in the event of a material breach, wherein the eye care provider fails to
25 remedy the alleged breach to the reasonable satisfaction of the insurer
26 or vision benefit manager within thirty days of receipt of written notice
27 specifying the alleged breach.

28 (3) It shall be prohibited for an insurer or vision benefit manager
29 to require an eye care provider to establish a security interest in all
30 or part of the provider's property and assets, including assets
31 pertaining to the provider's practice, in a sum equivalent to the funds

1 owed to the insurer or vision benefit manager at termination. Any such
2 contractual language, policies, or procedures set by the insurer or
3 vision benefit manager in violation of this subsection shall be void and
4 unenforceable as a matter of law.

5 (4) A provider agreement between an insurer or vision benefit
6 manager and an eye care provider shall not contain a provision requiring
7 the provider to accept a reimbursement payment in the form of a virtual
8 credit card or any other payment method wherein a processing fee,
9 administrative fee, percentage amount, or dollar amount is assessed for
10 the provider to receive the reimbursement payment.

11 (5) A provider agreement between an insurer or vision benefit
12 manager and an eye care provider shall not contain a provision obligating
13 the eye care provider to share equally the expenses of arbitration. Any
14 such contractual language, policies, or procedures set by the insurer or
15 vision benefit manager in violation of this subsection shall be void and
16 unenforceable as a matter of law. Each party shall bear their own
17 arbitration costs, contingent upon a fee-shifting provision that grants
18 prevailing party status.

19 (6) An insurer or vision benefit manager shall not retaliate in any
20 manner against an eye care provider for discussing, or attempting in good
21 faith to negotiate, the terms and provisions of a provider agreement with
22 the insurer or vision benefit manager.

23 (7) An insurer or vision benefit manager shall not retaliate in any
24 manner against an eye care provider for filing a complaint against the
25 insurer or vision benefit manager with any state agency with
26 jurisdictional, regulatory, or enforcement authority over the business of
27 the insurer or vision benefit manager.

28 (8) Should retaliation by an insurer or vision benefit manager occur
29 against an eye care provider in violation of subsection (6) or (7) of
30 this section, a state agency that has jurisdictional, regulatory, or
31 enforcement authority over the business of the insurer or vision benefit

1 manager may sanction the insurer or vision benefit manager, including
2 finances and other remedies deemed appropriate, and provide an appropriate
3 remedy for the aggrieved eye care provider.

4 **Sec. 9.** (1) No agreement between an insurer or vision benefit
5 manager and an eye care provider shall restrict or limit, either directly
6 or indirectly, the eye care provider's choice or use of sources and
7 suppliers of covered or uncovered services or materials, including the
8 choice or use of optical laboratories, provided by the eye care provider
9 to an enrollee. Any such contractual language, policies, or procedures
10 set by the insurer or vision benefit manager in violation of this
11 subsection shall be void and unenforceable as a matter of law.

12 (2) An insurer or vision benefit manager shall not directly or
13 indirectly:

14 (a) Control or attempt to control the professional judgment, manner
15 of practice, or practice of an eye care provider;

16 (b) Employ an eye care provider to provide a covered service or
17 covered material;

18 (c) Reimburse an eye care provider a different amount for covered
19 services or covered materials because of the eye care provider's choice
20 of:

21 (i) Optical laboratory;

22 (ii) Source of supplier of:

23 (A) Contact lenses;

24 (B) Ophthalmic lenses;

25 (C) Ophthalmic glasses frames; or

26 (D) Covered or noncovered services or materials;

27 (iii) Equipment used for patient care;

28 (iv) Retail optical affiliation;

29 (v) Vision support organization;

30 (vi) Group purchasing organization;

31 (vii) Doctor alliance;

- 1 (viii) Professional trade association membership;
- 2 (ix) Electronic health record software, electronic medical record
3 software, or practice management software; or
- 4 (x) Third-party claim filing service, billing service, or electronic
5 data interchange clearinghouse company;
- 6 (d) Restrict, limit, or influence an eye care provider's choice of
7 sources or suppliers of services or materials, including optical
8 laboratories used by the eye care provider to provide services or
9 materials to the enrollee;
- 10 (e) Restrict, limit, or influence an eye care provider's choice of
11 electronic health record software, electronic medical record software, or
12 practice management software;
- 13 (f) Restrict, limit, or influence an eye care provider's choice of
14 third-party claim filing service, billing service, or electronic data
15 interchange clearinghouse company;
- 16 (g) Restrict or limit an eye care provider's access to an enrollee's
17 complete plan coverage information, including in-network and out-of-
18 network coverage details;
- 19 (h) Apply a chargeback to an enrollee or eye care provider if the
20 chargeback is for a covered product or service for which the insurer or
21 vision benefit manager does not incur the cost to produce, deliver, or
22 provide such product or service to the enrollee or eye care provider;
- 23 (i) Require an eye care provider to disclose an enrollee's
24 confidential or protected health information unless the disclosure is
25 expressly authorized by the enrollee, or permitted without authorization
26 under the Health Insurance Portability and Accountability Act of 1996;
- 27 (j) Require an eye care provider to disclose or report a medical
28 history or diagnosis as a condition to file a claim, adjudicate a claim,
29 or receive reimbursement for a routine or wellness eye exam; or
- 30 (k) Require an eye care provider to disclose or report an enrollee's
31 glasses prescription, contact lens prescription, ophthalmic device

1 measurements, facial photograph, or unique anatomical measurements as a
2 condition to file a claim, adjudicate a claim, or receive reimbursement
3 for a claim, unless the information is needed for the vision benefit
4 manager to manufacture, or cause to be manufactured, a covered product
5 that is submitted on the applicable claim.

6 (3) An insurer or vision benefit manager shall not solicit patients
7 or referrals for supplies on behalf of itself or its affiliates by
8 identifying participating eye care providers in an inaccurate or
9 otherwise misleading manner in any list of participating providers or in
10 any communications to purchasers or enrollees. All communications which
11 distinguish between participating eye care providers, or which otherwise
12 claim professional superiority or the performance of a professional
13 service in a superior manner, based on the following characteristics
14 shall be readily subject to verification by the Department of Insurance:

15 (a) A discount or incentive offered by the participating eye care
16 provider on services and materials that are not covered by the insurer or
17 vision benefit manager;

18 (b) The dollar amount, volume amount, or percent usage amount of any
19 material, product, or good purchased by the participating eye care
20 provider; or

21 (c) The brand, source, manufacturer, or supplier of a covered
22 service or covered material utilized by the participating eye care
23 provider.

24 (4) For the avoidance of doubt, this section does not prohibit
25 advertising, provided that such advertising is (a) not false, misleading,
26 or deceptive or (b) readily subject to verification.

27 **Sec. 10.** An insurer or vision benefit manager shall not use
28 extrapolation to complete an audit of a participating eye care provider.
29 Any additional payment due to a participating eye care provider or any
30 refund due to the insurer or vision benefit manager shall not be based on
31 an extrapolation, but shall be based on the actual overpayment or

underpayment, as determined after an investigation by the insurer or vision benefit manager, and after the participating eye care provider has been afforded, and has exhausted, all opportunities to appeal the insurer's or vision benefit manager's findings, as set forth in the provider manual or policy document or applicable law.

Sec. 11. (1) The requirements of the Vision Benefit Plan Act are in addition to, and do not limit, any other requirement applicable to an insurer under state law. In the event of a conflict between the act and another provision of state law applicable to insurers, the provision that affords greater protection to eye care providers or plan enrollees shall control.

(2) Notwithstanding any other provision of state law, including any law that purports to be the sole body of law governing the insurer, an insurer shall comply with the Vision Benefit Plan Act, to the extent not preempted by federal law.

Sec. 12. The director may adopt and promulgate rules and regulations to carry out the Vision Benefit Plan Act.

Sec. 13. (1) Except as provided in subsection (2) of this section, the director shall enforce the Vision Benefit Plan Act, and any violation of the act or any rule and regulation adopted and promulgated pursuant to the act shall be an unfair trade practice in the business of insurance subject to the Unfair Insurance Trade Practices Act.

(2) The Attorney General shall enforce any violations of the Vision Benefit Plan Act that are considered to be deceptive trade practices subject to penalty under the Uniform Deceptive Trade Practices Act.

(3) The director shall provide a mechanism for aggrieved individuals, whether actively or formerly enrolled with a particular vision benefit plan, to submit complaints to the director for review, investigation, and, as appropriate, discipline under applicable law.

(4) The penalties and remedies provided in this section for a violation of the Vision Benefit Plan Act shall be in addition to any

1 other penalties and remedies available under state law and shall not
2 waive, limit, or otherwise affect the applicability of any other law
3 providing for civil or criminal penalties or remedies for unfair,
4 deceptive, or unlawful business practices.

5 **Sec. 14.** The Vision Benefit Plan Act shall apply to insurer or
6 vision benefit manager policies, contracts, agreements, and plans
7 delivered, issued for delivery, continued, or renewed in this state on or
8 after the operative date of this act.

9 **Sec. 15.** This act becomes operative on July 1, 2026.

10 **Sec. 16.** If any section in this act or any part of any section is
11 declared invalid or unconstitutional, the declaration shall not affect
12 the validity or constitutionality of the remaining portions.

13 **Sec. 17.** Since an emergency exists, this act takes effect when
14 passed and approved according to law.